Laavin InfraScapes
Crafting Nature's Symphony

# LIS

## How the app works: recording data and what it changes

Written for people with no finance background. Money words from zero, what each entry does, and how to read every report. With examples and numbers.

Guide 2 of 2. Read it after "How to use the app".

Version 3.0.4

# Contents


Start here (1): Money words, from zero 2

Start here (2): The five buckets 4

Start here (3): Two sides to every entry 5

Start here (4): Tax words, with everyday examples 6

Start here (5): The accounts the app keeps 7

1. The big idea 9

2. Five things every entry needs 11

3. Promised and paid are two different events 12

4. Recording a sale: the invoice 14

5. Recording money from a client 16

6. Credit notes and debit notes 18

7. Recording a purchase: the supplier bill 20

8. Recording an expense 24

9. Advance money for supervisors, and reimbursements 26

10. People: attendance, salary and advances 28

11. Loans, capital and transfers 30

12. Fixing mistakes, vouchers and closing the year 33

13. A worked example, with numbers 35

14. Which report reads what 37

15. Why two numbers may not match 39

16. Reading the reports, line by line 41

17. Questions beginners ask 44

18. Test yourself 45

19. Ten golden rules 46


Tip: if money words are new to you, read the five "Start here" chapters first. Then read chapters 1 to 3, and go to the chapter for the screen you are about to use.

# Start here (1): Money words, from zero

You do not need any finance knowledge to use LIS. This section builds the few ideas you need, with everyday examples. Read it once and the rest of the guide becomes easy.

## A tea stall explains most of accounting

Ramesh runs a tea stall. Watch what happens in one week.

| Day | What happened | What it means in accounts |
|---|---|---|
| **Monday** | He sells tea for Rs. 500 and gets the cash. He buys milk and sugar for Rs. 300 and pays cash. | Income Rs. 500. Cost Rs. 300. Profit Rs. 200. Cash in hand went up by Rs. 200. |
| **Tuesday** | An office takes tea worth Rs. 1,000 and says "we will pay next week". | Income Rs. 1,000 today, even though he has no cash yet. The office now owes him Rs. 1,000. |
| **Wednesday** | He buys Rs. 400 of milk on credit. The shop says "pay on Friday". | Cost Rs. 400 today, even though he has paid nothing. He now owes the shop Rs. 400. |
| **Friday** | He pays the shop Rs. 400. | Cash goes down Rs. 400. He owes nothing now. His profit does not change, because the cost was counted on Wednesday. |
| **Next Monday** | The office pays Rs. 1,000. | Cash goes up Rs. 1,000. The office owes nothing. His income does not change, because it was counted on Tuesday. |

That is the whole idea behind LIS. Business accounts only track four kinds of facts: what you earned, what you spent, what people owe you, and what you owe other people.

## The seven everyday words

| | |
|---|---|
| **Income (or Revenue)** | What you have earned from your work, counted when you send the bill. Not when the money arrives. |
| **Cost (or Expense)** | What you have spent to do the work, counted when the bill or claim is recorded. Not when you pay. |
| **Profit** | Income minus costs. It tells you if the business is making money. |
| **Cash** | Money you actually hold, in the cash box or the bank. |
| **Owed to you** | Money others still have to pay you, such as a client who has not yet paid an invoice. |
| **Owed by you** | Money you still have to pay others, such as a supplier whose bill is unpaid. |
| **Capital** | Money the partners put into the business from their own pocket. |

**THE MOST IMPORTANT THING TO REMEMBER**

Profit is not the same as cash. A business can show a big profit and have an empty bank, if clients have not yet paid. LIS shows both, in different reports, so you can see the difference.

# Start here (2): The five buckets

Every rupee in the app belongs to one of five buckets. Once you can name the bucket, you understand the report.

**What we own**
Bank, cash, money clients owe us

→

**What we owe**
Suppliers, GST, loans, salaries

→

**Partners share**
Capital put in, plus profit kept

**Income**
What we earned

→

**Costs**
What we spent

→

**Profit**
Income minus costs

The first three buckets describe the business on one day, like a photograph. This is the Balance Sheet. The last three describe what happened over a period, like a film. This is the Profit and Loss.

## The one rule that never breaks

**What we own**
everything the firm has

→

**equals**
always

→

**What we owe + Partners shar**
who has a claim on it

Everything the firm has must belong to someone: either to people it owes, or to the partners. So the two sides are always equal. Here it is step by step with real numbers:

| What happened | We own | We owe + Partners share | Equal? |
|---|---|---|---|
| 1. Partners put in Rs. 10,00,000 | Bank 10,00,000 | Owe 0 + Partners 10,00,000 | 10,00,000 = 10,00,000 |
| 2. Bank gives a loan of Rs. 2,00,000 | Bank 12,00,000 | Owe 2,00,000 + Partners 10,00,000 | 12,00,000 = 12,00,000 |
| 3. A project earns a profit of Rs. 50,000, received in the bank | Bank 12,50,000 | Owe 2,00,000 + Partners 10,50,000 | 12,50,000 = 12,50,000 |
| 4. A supplier bill of Rs. 20,000 is recorded, not yet paid | Bank 12,50,000 | Owe 2,20,000 + Partners 10,30,000 | Cost lowers the profit kept: 12,50,000 = 12,50,000 |

**WHY THIS MATTERS TO YOU**

You never have to make the two sides equal. The app does it, because every entry changes two things by the same amount. If the Balance Sheet ever shows a red "out by" message, something is wrong, and the Books health check tells you where.

# Start here (3): Two sides to every entry

This is what "double entry" means. It sounds hard, but it is just "where did it come from, and where did it go".

Every entry in the books has two sides of equal size. Each side changes one of the five buckets.

| What happened | One side | The other side |
|---|---|---|
| Client pays Rs. 50,000 into the bank | Bank (what we own) goes up 50,000 | Money clients owe (what we own) goes down 50,000 |
| We pay a supplier Rs. 20,000 we owed | What we owe suppliers goes down 20,000 | Bank goes down 20,000 |
| We spend Rs. 5,000 on office costs from the bank | Costs go up 5,000 | Bank goes down 5,000 |
| We send an invoice of Rs. 1,00,000 (no tax) | Money clients owe goes up 1,00,000 | Income goes up 1,00,000 |

## Where you will meet "debit" and "credit"

Accountants call the two sides "debit" and "credit". You will see these words in the Trial balance and in some downloads, so here is what they mean, with no rules to memorise:

- Debit and credit are only the names of the two columns. Every entry puts equal amounts in each.
- For things we own and for costs, a debit makes the number go up and a credit makes it go down.
- For things we owe, for the partners share and for income, a credit makes the number go up and a debit makes it go down.
- The Trial balance adds up every account. Total debits must equal total credits. If they do, the books are consistent.

| Kind of account | Goes UP with a | Goes DOWN with a |
|---|---|---|
| What we own (bank, clients owe us, retention) | Debit | Credit |
| Costs (materials, salaries, office) | Debit | Credit |
| What we owe (suppliers, GST, loans) | Credit | Debit |
| Partners share (capital) | Credit | Debit |
| Income (revenue) | Credit | Debit |

> **YOU WILL NEVER TYPE A DEBIT OR A CREDIT**
> LIS does this for you from the screens you fill in. This page is only so the words do not scare you when you see them in a report.

# Start here (4): Tax words, with everyday examples

Four tax ideas appear in almost every entry. Each has a simple picture.

## GST: collected for the government

Think of a toll booth. The booth collects the toll from you, but the money is not the booth's. It goes to the government. GST is the same. When Laavin sends a Rs. 1,00,000 invoice with 18 percent GST, the client pays Rs. 1,18,000. Rs. 1,00,000 is Laavin's income. The Rs. 18,000 is the government's, and Laavin holds it until it files its GST return and pays.

## Input GST: the tax you paid when buying

When Laavin buys materials, the supplier also charges GST. That tax was paid on the way in, so Laavin can set it off against the GST it collected. Example: collected Rs. 18,000 on sales, paid Rs. 3,600 on purchases. Laavin only has to pay the government the difference: Rs. 14,400.

## CGST, SGST and IGST: only a split

The GST rate is the same. Only the name changes by place. If you and the client are in the same state, the tax is split in two equal halves, CGST (centre) and SGST (state). If you are in different states, the whole of it is called IGST. Either way, 18 percent is 18 percent. LIS looks at the first two digits of the GST numbers to decide.

## TDS: tax paid for you in advance

Some clients are required to keep back a small part of your bill (say 2 percent) and deposit it with the income tax department in your name. You do not receive that money, but it is not lost: it counts as tax you have already paid, and you claim it back when you file your income tax. So LIS records it as "TDS receivable", a credit you hold. The same thing works the other way when Laavin pays its own suppliers: Laavin keeps back a part and deposits it for them.

## Retention: a security deposit

A client may hold back 5 or 10 percent of each bill until the whole project is finished and accepted, like a rental deposit. It is still yours, but you cannot ask for it yet. LIS keeps it in its own line so it is never mistaken for money that is overdue.

## HSN and SAC codes

A code number printed on every invoice that says what kind of goods (HSN) or service (SAC) was sold, like a category label. The government uses it. You only need to copy the right code onto the invoice.

# Start here (5): The accounts the app keeps

The app keeps a separate list, called an account, for each kind of thing. You will see these names in the Trial balance and ledgers. Here they are in plain words.

## What we own

| Account | What it means | Goes up when | Goes down when |
|---|---|---|---|
| **Cash in Hand** | Notes and coins in the cash box. | Cash received, or moved in | Cash paid out, or moved out |
| **Bank** | Money in your bank accounts. | Client payments, loans, capital in | Payments out, repayments, capital out |
| **Money clients owe (Accounts Receivable)** | Invoices sent and not yet paid. | An invoice is sent | The client pays |
| **Retention held** | Part of invoices the client keeps back until the work ends. | An invoice with retention is sent | The client releases it |
| **TDS credit (TDS Receivable)** | Tax clients paid in your name. A credit you hold. | An invoice with TDS is sent | Written off against tax |
| **Input GST** | GST you paid to suppliers. | A bill or expense with GST | Set off against GST you owe |
| **Site imprest** | Advance money a supervisor holds to spend. | You give an advance | They spend it or return it |
| **Staff advances** | Money given to workers, to be taken back from salary. | You give an advance | You recover it from salary |

## What we owe

| Account | What it means | Goes up when | Goes down when |
|---|---|---|---|
| **Owed to suppliers (Accounts Payable)** | Bills you have not yet paid. | A bill is recorded | You pay it |
| **Owed to employees** | Money staff spent for the firm and are waiting to get back. | A reimbursable expense | You pay them back |
| **GST payable** | GST you collected, owed to the government. | An invoice with GST is sent | You pay GST, or set off input GST |
| **TDS payable** | Tax you kept back from suppliers, owed to the government. | A bill with TDS is recorded | You deposit it |
| **Salaries payable** | Wages earned by staff and not yet paid. | Wages for a period are saved | You pay the wages |
| **Loans payable** | Money you borrowed and have not repaid. | You take a loan | You repay the principal |

| | | | |
|---|---|---|---|
| **Advances from clients** | Money a client paid before you sent the invoice. | An early payment arrives | It is set against the invoice |

## The partners share, income and costs

| Account | What it means | Goes up when | Goes down when |
|---|---|---|---|
| **Partner capital** | Money the partners put in, less what they took out. | A partner puts money in | A partner takes money out |
| **Revenue** | Income from your invoices, before GST. | An invoice is sent | A credit note is raised |
| **Cost groups (10)** | Employee and Labour, Materials, Equipment, Transport, Office, Site overheads, Marketing, Professional, Finance and Banking, General. Each type of cost (sub-head) belongs to one group. | A bill or expense is recorded, wages are saved, interest is paid | A correction is made |

**WHERE PROFIT LIVES**

Profit is not an account. It is worked out as Revenue minus the ten cost groups. At the end of the year it is added to the partners share on the Balance Sheet.

# 1. The big idea

If you understand this one page, the rest of the app will make sense.

LIS is not a pile of separate lists. It is one system with three layers. You only ever work in the first layer. The other two fill themselves in.

**You record**
An invoice, a bill, an expense, a payment, a salary

→

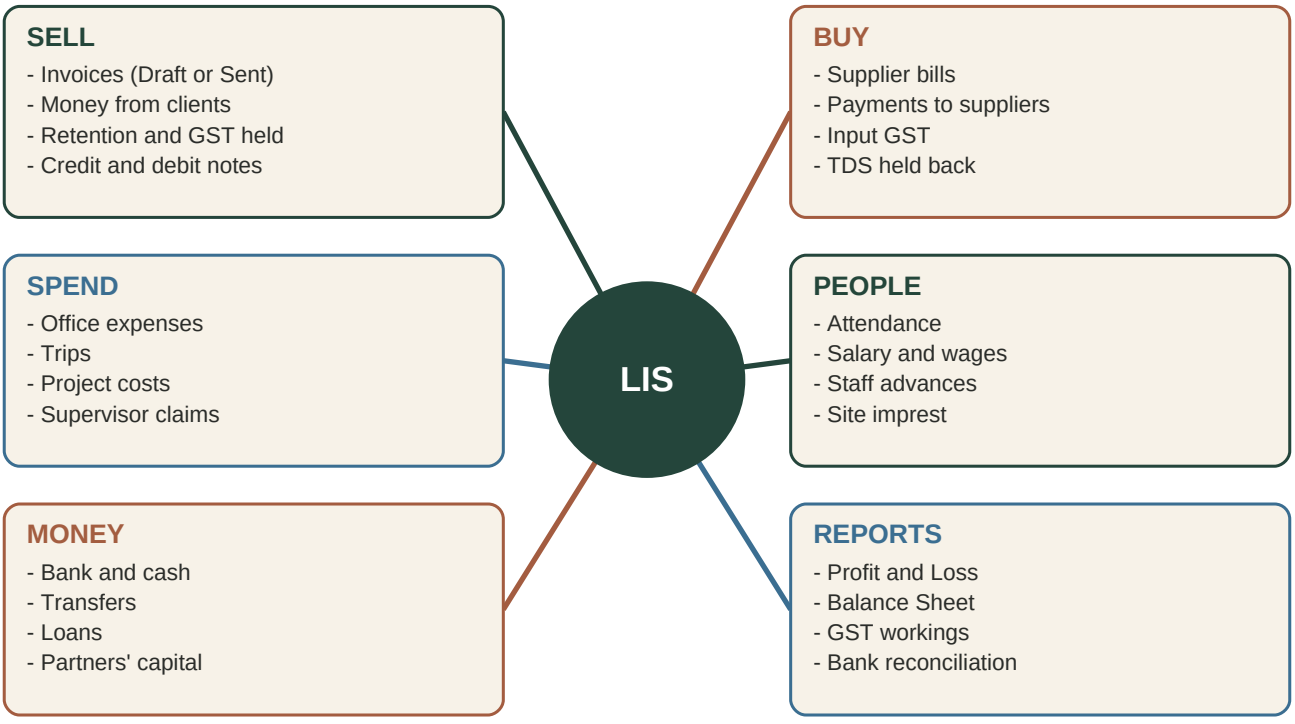
**The books**
The app writes each entry in the company's accounts by itself

→

**Reports**
Everything you read is added up from the books

## A map of the whole app

Everything in LIS fits in one of six areas. Each area has its own screens, and every one of them feeds the same books.




## The books, in one sentence

Every time money or a promise moves, the app writes down where it came from and where it went. Both sides are always written, and they are always equal. That is why the Balance Sheet balances, and why one entry can change several reports at once.

## Three things that follow from this

- You enter each thing once, in the place it belongs. You never copy it into a report. The reports update on their own.
- You never change the books directly. You change the record (the invoice, the bill, the expense) and the app rewrites its entries to match. Edit or delete a record, and its entries change or disappear with it.
- If a number in a report looks wrong, the cause is almost always in a record: a wrong date, a missing choice, or something marked Draft. This guide shows where to look.

> **AN EXAMPLE IN ONE LINE**
> You save an invoice as Sent. Without you doing anything else, the client now owes you money, your income for the year goes up, GST payable goes up, the Dashboard changes, and the invoice appears in the GST workings.

# 2. Five things every entry needs

Whatever you record, the app wants the same five answers. Getting them right is 90 percent of keeping the reports right.

| Question | Why it matters |
|---|---|
| **What** | What kind of thing happened: a sale, a purchase, an expense, a payment. You choose this by choosing the right screen. |
| **When** | The date. This decides which month and which year the entry belongs to. It is the most common cause of "the report is wrong". |
| **How much** | The amount. Tax is worked out by the app from the rates you give. Do not add the GST yourself unless the screen asks. |
| **Who or which project** | The client, supplier, staff member or project. This is what makes client ledgers, supplier ledgers and project profit possible. |
| **Which account** | Which bank account (or cash) the money moved through. If you leave the account empty, the app treats it as cash in hand. |

## Why the date matters so much

- Reports are cut by date: a month, a quarter, or the April to March year. An entry with the wrong date lands in the wrong period.
- Each entry is dated by its own date: an invoice by its invoice date, a payment by its payment date, a bill by its bill date, salary by the last day of the pay period.
- Once a year is closed, nothing dated inside it can be added, changed or deleted. A wrong date on a closed year cannot be fixed without the Admin opening the lock.

> **CHECK THE DATE BEFORE PRESSING SAVE**
> The date box often starts on today. If you are entering last month's bill, change it. This one habit prevents most mistakes.

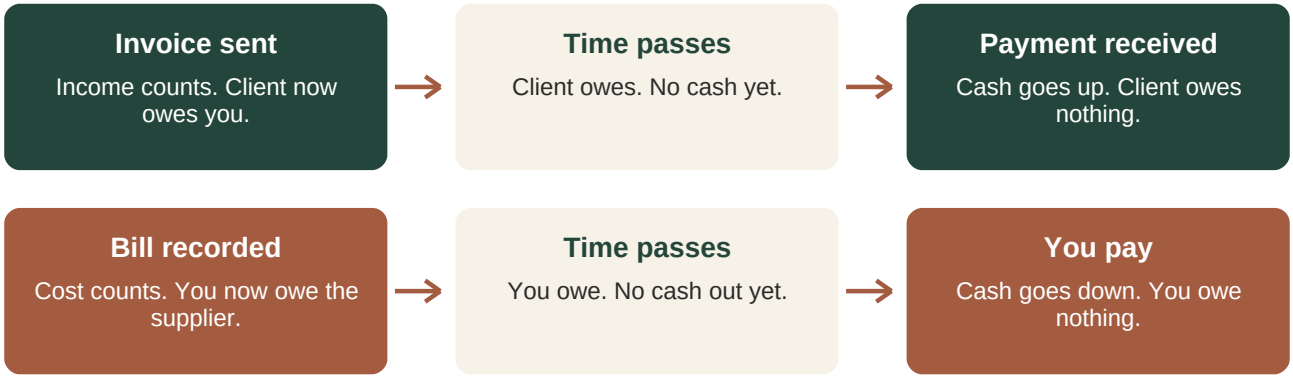
# 3. Promised and paid are two different events

This is the idea people find hardest, and the one that explains most reports.

Business has two steps for almost everything: the promise, and the payment. The app records both, separately, and each one changes different reports.

| | Step 1: the promise | Step 2: the payment |
|---|---|---|
| **You sell** | You send an invoice (the promise to pay) | Client pays money into the bank (the payment) |
| **You buy** | A supplier bill is recorded (you now owe them) | You pay the supplier (you no longer owe them) |
| **Salary** | Wages for the period are worked out (you owe staff) | You pay the staff |

## Two timelines




## What each step changes

- Profit moves at step 1. Income counts on the day you send the invoice, and a cost counts on the day of the bill or the approved expense. It does not wait for the money.
- Cash moves at step 2. The bank balance changes only when a payment is recorded.
- So an invoice you have not been paid for still counts as income, and a bill you have not paid still counts as a cost.
- And paying a supplier is not a second cost. The cost was counted when the bill was recorded. The payment only reduces what you owe.

> **THE SIMPLE TEST**
> Ask: "Did money move?" If yes, it is a payment or a receipt. If no, it is an invoice, a bill or an expense. Never record the same thing in both ways.

## Three amounts that are not income or cost

- GST you charge on an invoice is not your income. You are holding it for the government, so it sits as GST payable.
- GST you pay on a purchase is not a cost. It is tax you can set against the GST you owe, so it sits as input GST.
- TDS a client keeps back from your invoice is not a loss. It is tax already paid for you, and you claim it back later. It sits as TDS receivable.

# 4. Recording a sale: the invoice

Sales > Invoices

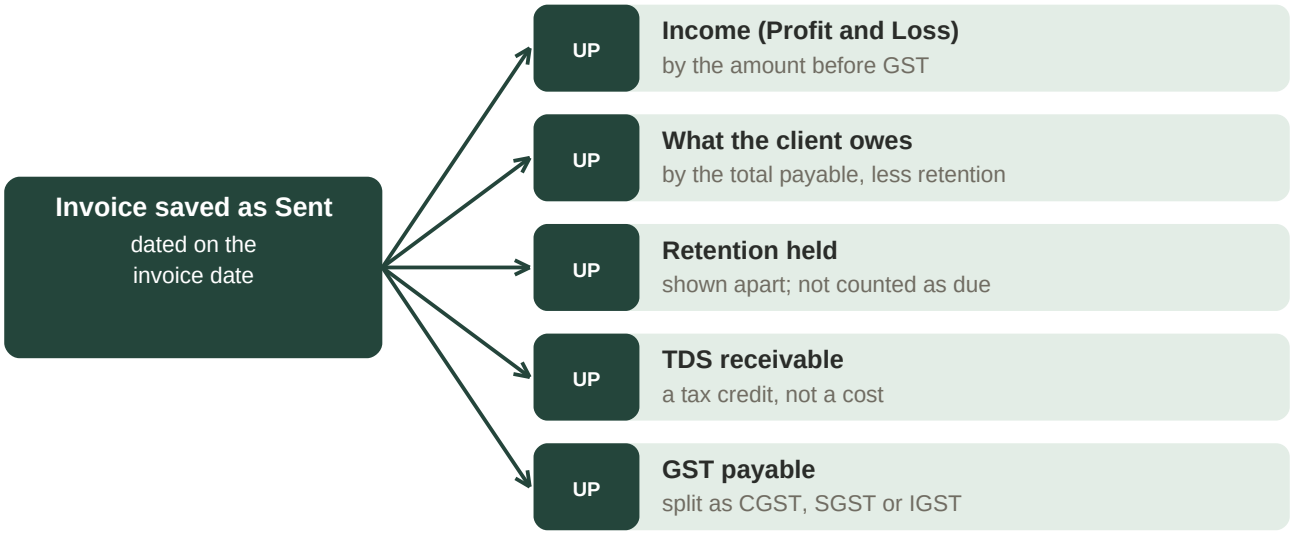
### YOU TYPE

Client, project, invoice number, date, HSN or SAC code, description, amount before GST, GST rate, TDS rate, retention rate, days to pay, and the status (Draft or Sent).

### WHAT THE APP DOES

1. Nothing happens in the books while the status is Draft. A Draft is a rough copy.
2. When you save it as Sent (with a date), the app works out: GST = amount x rate. TDS = amount x rate. Total payable = amount + GST - TDS. Retention = its share of the total payable.
3. It decides how to split the GST. If your GST number and the client's start with the same two digits (same state), the GST is split half CGST and half SGST. If they differ, it is all IGST. If a number is missing, the GST is shown as "not split".
4. It writes the entry on the invoice date.

### WHAT CHANGES




### REPORTS THAT CHANGE

Client report and client ledger, Dashboard (outstanding from clients), Profit and Loss, Balance Sheet, GST and TDS register, GST return workings, Project profitability, Trial balance.

### EXAMPLE 1: A CLIENT IN THE SAME STATE

| What you type | Example |
|---|---|
| Client | MKC Infrastructure (Delhi, GST number starts 07) |
| Project | Metro Station Landscaping |
| Invoice number and date | RA/MKC/12 and 05 Oct 2026 |
| HSN or SAC code | 9954 (construction services) |

| | |
|---|---|
| Amount before GST | Rs. 5,00,000 |
| GST, TDS and retention rates | 18 percent, 2 percent, 5 percent |
| Due in, status | 30 days, Sent |

| The app works out | Result |
|---|---|
| GST: 5,00,000 x 18 percent | Rs. 90,000 (split as CGST 45,000 and SGST 45,000) |
| TDS: 5,00,000 x 2 percent | Rs. 10,000 |
| Total payable: 5,00,000 + 90,000 - 10,000 | Rs. 5,80,000 |
| Retention: 5 percent of 5,80,000 | Rs. 29,000 |
| Due from the client now: 5,80,000 - 29,000 | Rs. 5,51,000 |

## WHAT THE BOOKS WRITE

| Account (in plain words) | Goes up | Goes down |
|---|---|---|
| Money clients owe | 5,51,000 | |
| Retention held | 29,000 | |
| TDS credit | 10,000 | |
| Revenue (income) | | 5,00,000 |
| GST payable, CGST | | 45,000 |
| GST payable, SGST | | 45,000 |

Check: the first three lines add up to 5,90,000, and the last three also add up to 5,90,000. Both sides are equal.

Example 2: if MKC were in Haryana, the same invoice would put the whole Rs. 90,000 under IGST, and everything else stays the same.

## WATCH OUT

- Forgot to mark it Sent: it is missing from income, the client ledger, and the GST returns.
- Wrong invoice date: it lands in the wrong month or year, and the GST for that month is wrong.
- No HSN or SAC code: the invoice prints incompletely, and the HSN summary in GSTR-1 has a gap.
- The same invoice number twice is refused, and numbers longer than 16 characters are flagged by the Books health check.
- Missing client GST number: the GST cannot be split and shows as "not split" in the returns.

# 5. Recording money from a client

Sales > Invoices > record a payment on the invoice

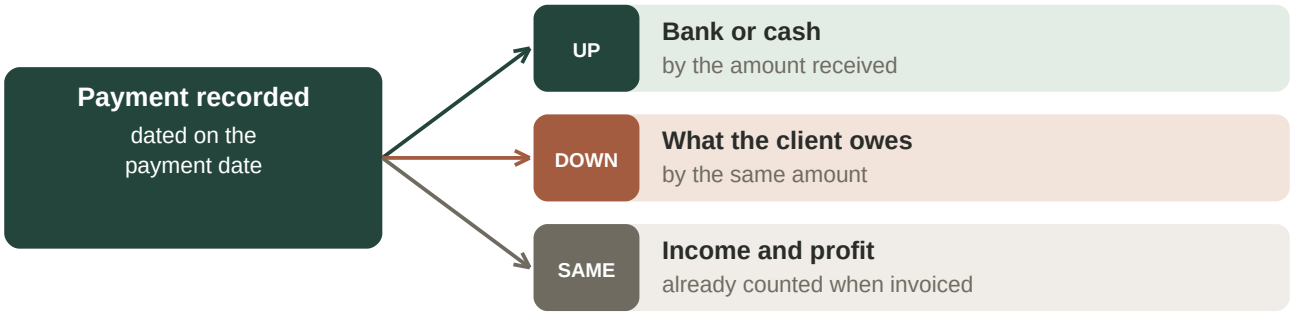
### YOU TYPE

Payment date, amount, the bank account (or leave empty for cash), and a reference such as the cheque or transfer number. Two extra options exist: "Retention release", and "Of which GST released" for clients that release GST after proof.

### WHAT THE APP DOES

- Money is added to the account you chose.
- What the client owes goes down by the same amount.
- If the payment is dated before the invoice, it is held as an advance from the client until the invoice exists, then set against it.
- If the client pays more than is due, the extra is shown in green and carried forward to be set against the next invoice.
- A payment marked "Retention release" reduces the retention held, not the due amount.
- For a GST-on-proof client, the part marked as GST reduces the GST held back.

### WHAT CHANGES




### REPORTS THAT CHANGE

Cash and bank, Receipts, Client ledger, Client report, Dashboard (outstanding and cash), Balance Sheet, Bank reconciliation.

### EXAMPLE: ONE INVOICE, PAID IN PARTS

Take the invoice RA/MKC/12 from chapter 4. The client owes Rs. 5,51,000 now, and Rs. 29,000 retention is held.

| Date | What happened | Cash | The client now |
|---|---|---|---|
| 20 Oct | Client pays Rs. 3,00,000 into HDFC | Bank + 3,00,000 | Client owes 2,51,000 |
| 12 Nov | Client pays Rs. 2,51,000 | Bank + 2,51,000 | Client owes 0 |
| 15 Jan | Client releases retention Rs. 29,000 (tick "Retention release") | Bank + 29,000 | Retention held 0 |

### WHAT THE BOOKS WRITE FOR THE FIRST PAYMENT

| Account (in plain words) | Goes up | Goes down |
|---|---|---|
| Bank | 3,00,000 | |
| Money clients owe | | 3,00,000 |

Nothing in income or profit changes. The income was counted on 05 Oct, when the invoice was sent.

### THREE SPECIAL CASES

- Client pays too much (say Rs. 5,60,000 against 5,51,000 due): the extra Rs. 9,000 shows in green and is carried forward to the next invoice.
- Client pays before you invoice (say Rs. 1,00,000 on 01 Oct for an invoice dated 05 Oct): it is held as an "advance from the client", and set against the invoice on its date.
- Client pays Rs. 5,00,000 and says "this includes GST proof": use the "Of which GST released" box to show how much of it was GST.

### WATCH OUT

- Type what really reached the bank, which is after the client's TDS and retention. The invoice already accounts for those.
- Do not also record the receipt as income anywhere else. That would count it twice.
- A receipt on an invoice that is still Draft is flagged. Mark the invoice Sent first.

# 6. Credit notes and debit notes

Sales > Invoices > add a note on the invoice

A credit note makes an invoice smaller (a discount, a mistake, goods returned). A debit note makes it bigger. Either one is raised against a particular invoice, with its own date and reason.

### WHAT THE APP DOES

- It works out the GST, TDS and retention for the note, in the same way as for an invoice.
- The invoice's total, GST, TDS and retention all change by that much. The invoice shows the new figures.
- It writes its own entry on the note's date.

### WHAT CHANGES

- Credit note: income goes down, GST payable goes down, what the client owes goes down.
- Debit note: the opposite.
- Reports: Client ledger, Profit and Loss, GST return workings (in the credit and debit note table), GST and TDS register, Dashboard.

### EXAMPLE: A CREDIT NOTE FOR A DISCOUNT

| What you type | Example |
|---|---|
| Against invoice | RA/MKC/12 |
| Amount before GST | Rs. 10,000 |
| Reason | Agreed discount on site work |
| Rates | Same as the invoice: 18 percent GST, 2 percent TDS, 5 percent retention |

### WHAT THE BOOKS WRITE

| Account (in plain words) | Goes up | Goes down |
|---|---|---|
| Revenue (income) | | 10,000 |
| GST payable | | 1,800 |
| Money clients owe | | 11,020 |
| Retention held | | 580 |
| TDS credit | | 200 |

Check: income and GST fall by 11,800 together, and the client side falls by 11,020 + 580 + 200 = 11,800. The invoice now shows Rs. 4,90,000 before GST.

**WHY NOT JUST EDIT THE INVOICE?**

An invoice that has already gone to the client and into a GST return should not change. A note keeps a clear trail, and it is what the GST return expects.

# 7. Recording a purchase: the supplier bill

Purchases > Procurements

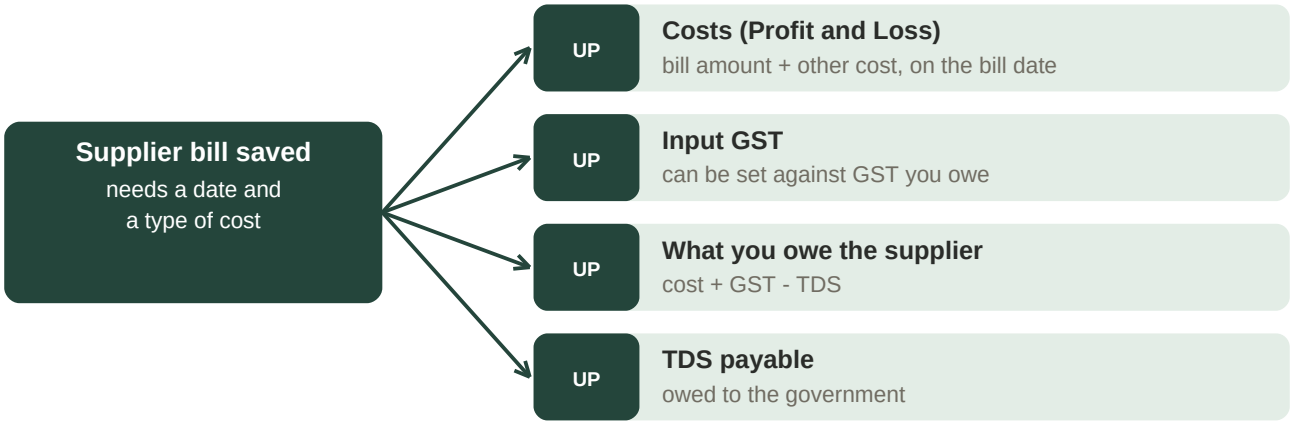
### YOU TYPE

Project, vendor, the type of cost (the sub-head), bill date, the supplier's own invoice number and date, bill amount, GST rate, any other cost, and the TDS you are holding back.

### WHAT THE APP DOES

1. The bill enters the books only when it has a date and a type of cost (sub-head). Without a sub-head the bill is saved but is not in any report except the lists, and the Books health check warns you.
2. The cost is the bill amount plus any other cost, placed under the sub-head's group, such as Materials or Transport, on the bill date.
3. GST on the bill is recorded as input GST, split into CGST, SGST or IGST using the supplier's GST number.
4. TDS you hold back is set aside to pay the government. The supplier is owed: cost + GST - TDS.

### WHAT CHANGES




### PAYING THE SUPPLIER

- On the bill, record the payment: date, amount and bank account. Partial payments are fine.
- The bank balance goes down, and what you owe the supplier goes down. Profit does not change, because the cost was counted on the bill.
- If an employee paid the supplier from their own pocket, choose "Reimbursement" as the payment mode. The bank does not move. Instead you now owe the employee, and the amount shows in Reimbursement due.
- TDS you deducted is paid to the government separately, by 7th of the next month. Record that with a journal voucher (chapter 12). The Books health check reminds you.

### EXAMPLE 1: A SUPPLIER BILL WITH GST

| What you type | Example |
|---|---|

| | |
|---|---|
| Vendor | Shree Steel Traders (Delhi) |
| Type of cost (sub-head) | Steel and reinforcement (Materials and Consumables) |
| Bill date | 08 Oct 2026 |
| Supplier invoice number and date | SST/2201 and 07 Oct 2026 |
| Amount and GST rate | Rs. 1,00,000 and 18 percent |
| TDS | None |

### WHAT THE BOOKS WRITE

| Account (in plain words) | Goes up | Goes down |
|---|---|---|
| Costs: Materials and Consumables | 1,00,000 | |
| Input GST (CGST 9,000 + SGST 9,000) | 18,000 | |
| Owed to suppliers | 1,18,000 | |

Paying it on 25 Oct from the bank: Owed to suppliers falls 1,18,000 and Bank falls 1,18,000. The cost stays as it was.

### EXAMPLE 2: A LABOUR CONTRACTOR BILL WITH TDS

| What you type | Example |
|---|---|
| Vendor | Sharma Labour Contractor |
| Amount, GST rate | Rs. 50,000 and 18 percent (GST Rs. 9,000) |
| TDS deducted | 1 percent of 50,000 = Rs. 500 |
| You pay the contractor | 50,000 + 9,000 - 500 = Rs. 58,500 |

### WHAT THE BOOKS WRITE

| Account (in plain words) | Goes up | Goes down |
|---|---|---|
| Costs: Employee and Labour | 50,000 | |
| Input GST | 9,000 | |
| Owed to suppliers | 58,500 | |
| TDS payable (owed to government) | 500 | |

Check: 50,000 + 9,000 = 59,000 on one side, and 58,500 + 500 = 59,000 on the other. By the 7th of next month, deposit the Rs. 500 with the government (see chapter 12).

### ITEMS ON A BILL

- A bill can list what was bought: item, quantity, unit and rate. With items, the bill value before GST is their total.

- Items only explain the bill. The cost, the GST, the TDS and what you owe the vendor are written exactly as before, once for the whole bill, so no report changes.
- Change the items later by editing the bill. Removing the bill removes its items.

### A BILL MADE FROM A BANK PAYMENT

- In Bank reconciliation, "Record this" on a payment can make the bill and the payment in one step, and can add the vendor on the spot. Use it when you paid first and the bill was never entered.
- The bill value is worked back from what left the bank: the payment, less the GST on top, plus any TDS held back. The app shows the working before you save. If the payment is only part of a bigger bill, you type the whole bill value and the rest stays due.
- The bill is entered exactly as one typed in Procurements, so the cost, the input GST, the TDS and what you owe the vendor are written as in the examples above. The payment then moves the bank and clears what you owe.
- If the vendor already holds an advance, it is set against the new bill first, so the bank payment only clears what was still due. Any money left over is kept as a new advance.

### PAYING BEFORE THERE IS A BILL: AN ADVANCE

- Record it under Procurements, "Advances to vendors", or from a bank statement line with "Record this". You choose the vendor, amount, date and the account paid from.
- It is money paid out, but it is not a cost. It sits on the Balance Sheet as "Advances to suppliers", an amount the vendor holds for you, and the bank goes down.
- When the vendor's bill is recorded, the app sets the oldest advance against it by itself, and only the rest is left to pay. It also does this if you record the advance after the bill.
- The set-off moves no cash. It shows in Payment records as "From advance". If you change or delete the bill or the advance, the app redoes the set-off.

### WHAT THE BOOKS WRITE: AN ADVANCE OF RS. 20,000 FROM THE BANK

| Account (in plain words) | Goes up | Goes down |
|---|---|---|
| Advances to suppliers | 20,000 | |
| Bank | | 20,000 |

Later a bill of Rs. 60,000 (no GST) is recorded for that vendor. The cost and the amount owed are written as in Example 1, and the advance is set against it:

### WHAT THE BOOKS WRITE: THE ADVANCE USED AGAINST THE BILL

| Account (in plain words) | Goes up | Goes down |
|---|---|---|
| Owed to suppliers | 20,000 | |
| Advances to suppliers | | 20,000 |

Rs. 40,000 is still owed to the vendor. Bank did not move at this step, because the cash went out when the advance was paid.

### REPORTS THAT CHANGE

Profit and Loss, Vendor report and ledger, Purchase GST and TDS register, GST return workings (input credit), Project profitability, Expense breakdown, Balance Sheet (including Advances to suppliers), Dashboard (supplier dues), Cash and bank.

### WATCH OUT

- Supplier without a GST number: the GST you were charged cannot be claimed, and the health check flags it.
- TDS on a supplier with no PAN: flagged, because a higher rate applies.
- The same supplier invoice number twice for one vendor is refused.

# 8. Recording an expense

Money > Expenses (Admin, Trips or Project), or a supervisor's claim

### YOU TYPE

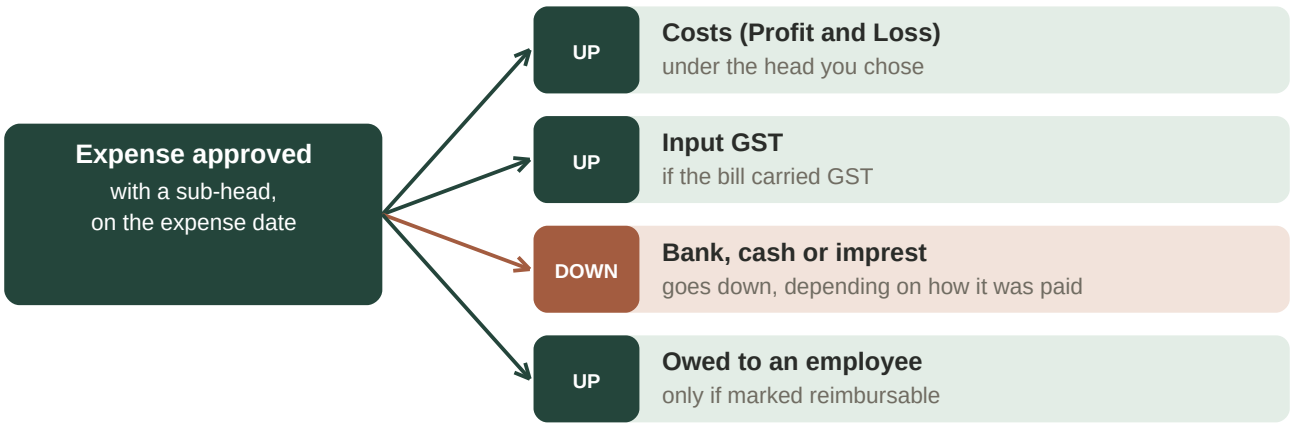
Cost centre, project, description, the head and sub-head, quantity, rate, any additional amount, date, whether the amount includes GST, the GST rate, and how it was paid.

### WHAT THE APP DOES

- An expense entered by the office is approved at once. A claim sent by a supervisor waits as "pending" and counts for nothing until the office approves it. Rejected claims never count.
- Once approved, and with a sub-head, it becomes a cost on the expense date.
- GST on the expense, if any, is recorded as input GST.
- The other side depends on how it was paid:

| How it was paid | What goes down |
|---|---|
| **From a bank account or cash** | Bank or cash goes down. |
| **From the supervisor's advance (imprest)** | The money the supervisor holds goes down. |
| **Marked reimbursable (someone paid it from their own pocket)** | You now owe that person. It shows in Reimbursement due until you pay them. |

### WHAT CHANGES




The cost goes up in the Profit and Loss, under the head you chose, in the right month. Project profitability and Expense breakdown show it under its project and group. The Dashboard's "expenses this month" counts approved expenses only.

### EXAMPLE 1: AN OFFICE EXPENSE WITH GST

| What you type | Example |
|---|---|
| Cost centre | Admin |
| Description and sub-head | Printer paper, Office stationery |

| | |
|---|---|
| Quantity x rate | 10 reams x Rs. 450 = Rs. 4,500 |
| GST | 18 percent, entered as excluding GST: Rs. 810 |
| Paid from | HDFC bank |

### WHAT THE BOOKS WRITE (APPROVED AT ONCE, ENTERED BY THE OFFICE)

| Account (in plain words) | Goes up | Goes down |
|---|---|---|
| Costs: Office and Administration | 4,500 | |
| Input GST | 810 | |
| Bank | | 5,310 |

### EXAMPLE 2: A SUPERVISOR CLAIM FOR SITE MATERIAL

| What you type | Example |
|---|---|
| Project | Metro Station Landscaping |
| Description | 40 bags of cement at Rs. 380 |
| Amount | Rs. 15,200, no GST |
| Paid from | The supervisor advance (imprest) |

At first this claim is pending, so it counts for nothing and no report shows it. After approval:

### WHAT THE BOOKS WRITE

| Account (in plain words) | Goes up | Goes down |
|---|---|---|
| Costs: Materials and Consumables | 15,200 | |
| Site imprest (the supervisor wallet) | | 15,200 |

### WATCH OUT

- A pending claim is not in any report yet. If a supervisor says they sent it and you cannot find it, look in Approvals.
- No sub-head: the expense is listed, but is not in the books, so it is missing from the Profit and Loss.
- Pick the project. Without it, the cost cannot be shown against a project.
- If you leave the account empty, the app takes it as cash in hand.

# 9. Advance money for supervisors, and reimbursements

People > HR > Imprest, and Money > Expenses

## Imprest: money a supervisor holds for site spending

Think of imprest as a wallet you hand to a supervisor. Handing it over is not a cost. The cost comes later, when they spend it.

| Event | Money | Profit |
|---|---|---|
| **You give an advance** | Bank goes down. The supervisor's wallet goes up. | No change in profit. |
| **Supervisor spends from it (an approved claim "from imprest")** | The wallet goes down. | A cost is counted, on the expense date. |
| **Supervisor returns cash** | Bank goes up. The wallet goes down. | No change in profit. |

- A supervisor's "Request Advance" waits as pending. It becomes a real entry only when the office approves it.
- The Site imprest ledger report shows each supervisor's wallet: advances in, spending and returns out, and the balance they still hold.
- An advance given for a named worker (not a supervisor) is treated as a salary advance, covered in chapter 10.

## Reimbursements: paying someone back

- When a person spends their own money for the firm, the entry says "reimbursable". You owe them from that day.
- The Dashboard's Reimbursement due lists these.
- When you pay them back, record it as a reimbursement payment. The bank goes down and what you owe goes down. Profit does not change, because the cost was counted when the expense was approved.

### EXAMPLE: ONE SUPERVISOR WALLET, START TO FINISH

| Date | What happened | Money | Profit |
|---|---|---|---|
| 1 Oct | Office gives Rs. 20,000 advance from the bank | Bank - 20,000, Wallet + 20,000 | None |
| 5 Oct | Supervisor spends Rs. 6,500 on cement (claim approved) | Wallet - 6,500 | Cost + 6,500 |
| 8 Oct | Supervisor spends Rs. 3,500 on labour (claim approved) | Wallet - 3,500 | Cost + 3,500 |

| | | | |
|---|---|---|---|
| 12 Oct | Supervisor returns the Rs. 10,000 left | Wallet - 10,000, Bank + 10,000 | None |

The wallet is now zero. The bank is down Rs. 10,000 net, and the profit and loss shows Rs. 10,000 of cost, exactly what was really spent.

### EXAMPLE: PAYING BACK AN EMPLOYEE

Anil bought a courier for Rs. 2,400 with his own money, and the entry was marked reimbursable. At once, cost goes up 2,400 and Owed to employees goes up 2,400. When the office repays him by bank, Owed to employees falls 2,400 and Bank falls 2,400.

> **SUPERVISORS CANNOT APPROVE THEIR OWN MONEY**
> Only Admin or CXO can approve claims or reimbursements. The "Segregation of duties" report lists any that were approved by the person who made them.

# 10. People: attendance, salary and advances

People > HR

## Attendance

Marking attendance records who worked, where and on which day. By itself, it does not change the books. It is the information that salary is worked out from.

## Salary: two steps

| Step | What happens | Reports |
|---|---|---|
| **1. Wages for the period are worked out and saved** | Wages become a cost on the last day of the pay period. You now owe the staff member. | Profit goes down. Cash does not move. |
| **2. You pay the wages** | What you owe the staff member goes down. Bank goes down by the cash actually paid. | No change in profit. |

## Salary advances

- An advance to a worker is money you are owed back. It is not a cost. The bank goes down and the worker's advance balance goes up.
- When you pay salary, you can recover part or all of the advance in the same payment. Then only the rest is paid in cash. The advance balance comes down by the amount recovered.
- The Salary advance ledger shows each person's advances and recoveries and what they still owe.

### EXAMPLE: ONE WORKER, ONE MONTH

Mohan is paid Rs. 700 a day. He worked 26 days in October. On 10 October he took an advance of Rs. 5,000.

| Date | What happened | Money | Profit |
|---|---|---|---|
| 10 Oct | Advance given Rs. 5,000 from the bank | Bank - 5,000, Staff advances + 5,000 | None |
| 31 Oct | Wages saved for October: 26 x 700 = Rs. 18,200 | Salaries payable + 18,200 | Cost + 18,200 |
| 5 Nov | Pay the wages, recovering Rs. 3,000 of the advance | Salaries payable - 18,200, Staff advances - 3,000, Bank - 15,200 | None |

Mohan received Rs. 15,200 in cash, and Rs. 3,000 of his advance was settled. He still owes the firm Rs. 2,000 from the advance. October carries the full Rs. 18,200 labour cost, even though the cash went out in November.

### REPORTS THAT CHANGE

Profit and Loss (Employee and Labour Costs), Salary advance ledger, Cash and bank, Balance Sheet (salaries payable and advances to staff), Dashboard.

> **CHECK BEFORE YOU CLOSE A MONTH**
> If the wages for a month were never worked out and saved, that month shows no labour cost and the profit looks too high.

# 11. Loans, capital and transfers

Money > Loans, Capital, Transfers

## Loans

| Event | What changes | Profit |
|---|---|---|
| **You take a loan** | Bank goes up. Loans payable goes up. | No change in profit. Borrowing is not income. |
| **You repay a loan** | Bank goes down by principal + interest. Loans payable goes down by the principal. | The interest part is a cost (Finance and Banking). The principal is not. |

Record the principal and the interest separately on each repayment. This is how the Profit and Loss gets the interest cost right. The Loan report and Loan ledger show what is still owed.

## Capital

| Event | What changes | Profit |
|---|---|---|
| **A partner puts money in** | Bank goes up. Partners' capital goes up. | No change in profit. |
| **A partner takes money out** | Bank goes down. Partners' capital goes down. | No change in profit. |

> **CAPITAL MAKES THE BALANCE SHEET HONEST**
> The money partners put in is not profit. If it is not entered here, the Balance Sheet shows it as accumulated profit. Enter every injection, with its real date.

### EXAMPLE: A LOAN AND ITS FIRST REPAYMENT

On 1 October the firm takes a Rs. 5,00,000 loan at 12 percent. On 1 November it pays Rs. 20,000 of principal and Rs. 5,000 of interest.

| Event | Cash | What we owe | Profit |
|---|---|---|---|
| 1 Oct: loan received | Bank + 5,00,000 | Loans payable + 5,00,000 | None |
| 1 Nov: repayment of 25,000 | Bank - 25,000 | Loans payable - 20,000 | Interest cost + 5,000 |

The loan still owed is Rs. 4,80,000. Only the Rs. 5,000 of interest reduces profit. The Rs. 20,000 of principal is just giving back money that was borrowed.

### EXAMPLE: CAPITAL

Partner Rakesh puts Rs. 10,00,000 into the HDFC account on 1 April. Bank goes up 10,00,000 and Partner capital goes up 10,00,000. If he later takes out Rs. 50,000, both go down by 50,000. Profit is not touched either time.

## Transfers

A transfer moves money between your own places, such as cash to bank or one bank to another. One goes down and the other goes up by the same amount. Nothing is earned or spent, so no income, cost or profit changes. Cash and bank and the Bank reconciliation are the reports it touches.

### EXAMPLE: A TRANSFER

The firm takes Rs. 50,000 out of the bank to keep as cash for small site costs. Record a transfer from HDFC to Cash. Bank goes down 50,000 and Cash in hand goes up 50,000. Nothing was earned or spent.

### OTHER MONEY RECEIVED

Money that comes in for a reason other than a client payment, a loan, partner capital or a transfer is recorded on the Transfers screen, under "Other money received". The bank or cash goes up, and the other side depends on what it was.

### WHAT THE BOOKS WRITE: A SECURITY DEPOSIT OF RS. 6,760 GIVEN BACK

| Account (in plain words) | Goes up | Goes down |
|---|---|---|
| Bank | 6,760 | |
| Security Deposits (an asset we hold with others) | | 6,760 |

The deposit is simply returned, so profit does not change. For interest, a refund, scrap sold or other income, the second line is Other Income instead, and profit goes up by the same amount.

> **DO NOT USE A TRANSFER FOR A PAYMENT**
> Paying someone or receiving from someone is never a transfer. Use the receipt, payment or expense screens, or the money will not appear on the right person's ledger.

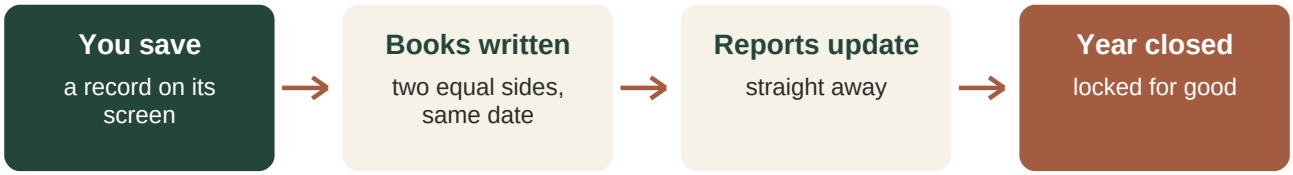
### OPENING BALANCES

- An account’s opening balance is the money it already held on the day the books for it begin. It is entered once, under Reports > Opening and monthly balances.
- It is written as one entry: the bank (or Cash) goes up, and Opening Balance Equity, an account in the "what the firm owns" bucket, goes up by the same amount. Nothing in the Profit and Loss changes.
- Cash & bank, the Dashboard (and its 30-day trend), Bank reconciliation and the "below zero" health check count an account only from the date of its opening balance: the opening balance plus every entry dated on or after that day. Older entries stay saved and open from their own screens, but they are not counted. In Bank reconciliation the opening balance is treated as already confirmed, because the statement shows a balance, not a line.
- An account with no opening balance is left out of Cash & bank and shown as "Opening balance not set". The health check lists it as a warning. The Balance Sheet, client outstanding, retention, vendor dues and the Profit and Loss are not affected: they still use every entry.
- The "Start the books from" button in Step 2 moves an account's opening balance back to the first day of a typed month, using that month's typed balance. The monthly check works from the opening balance in both directions, forward for later months and backward for earlier ones, so months can be checked newest first.

- The month-start balances typed on the same page are never written to the books. They are a check: the statement's balance at the start of a month, plus what the books moved that month, should equal the statement's balance at the start of the next month.

# 12. Fixing mistakes, vouchers and closing the year

## The life of an entry




If you edit the record, the middle two steps simply happen again. Once the year is closed, the loop stops: nothing dated inside it can be changed.

## Editing and deleting a record

- Open the record and change it. The app removes the old entry and writes a new one, so the reports are right straight away.
- Delete the record and its entry goes with it. An expense, reimbursement, capital entry, transfer, other receipt, loan or loan payment goes to the Trash first, and an Admin can restore it, with its entry in the books.
- Every edit and delete is kept in the Audit log: who, when, and what it looked like before.
- You cannot edit or delete anything dated in a closed year.
- Only Admin can delete some records, such as expenses and imprest entries.

## Journal vouchers: the one place you write the books directly

Some events have no screen of their own. For these, Admin or CXO can post a manual voucher from Reports > Journal vouchers. You pick the accounts and amounts yourself. Both sides must be equal, or the app refuses it.

| Typical use | What it does |
|---|---|
| **Paying GST to the government** | Reduces GST payable. Bank goes down. |
| **Depositing TDS you deducted** | Reduces TDS payable. Bank goes down. |
| **Writing off a bad debt** | Reduces what the client owes. Adds a cost. |
| **Correcting an old entry** | In a way the normal screens cannot. |

**NAME THE BANK ON A BANK LINE**

When a voucher line uses the Bank account (for example paying GST from Kotak), choose which bank it is for. The voucher cannot be posted without it. This is what makes the payment appear in that bank's balance and in its reconciliation.

**USE VOUCHERS SPARINGLY**

Anything with its own screen should be recorded there. A voucher is not tied to an invoice or a bill, so it will not follow if the record is later edited.

### EXAMPLE: PAYING GST TO THE GOVERNMENT

Using the worked example in chapter 13: Rs. 18,000 GST collected, Rs. 3,600 paid on purchases. Two vouchers settle it.

| Voucher | One side | The other side |
|---|---|---|
| 1. Set off the input GST | GST payable - 3,600 | Input GST - 3,600 |
| 2. Pay the rest on the portal | GST payable - 14,400 | Bank - 14,400 |

After both, GST payable is zero and the Balance Sheet no longer shows a GST liability. The TDS you kept back from suppliers is paid in the same way: TDS payable goes down and Bank goes down.

## Closing the year

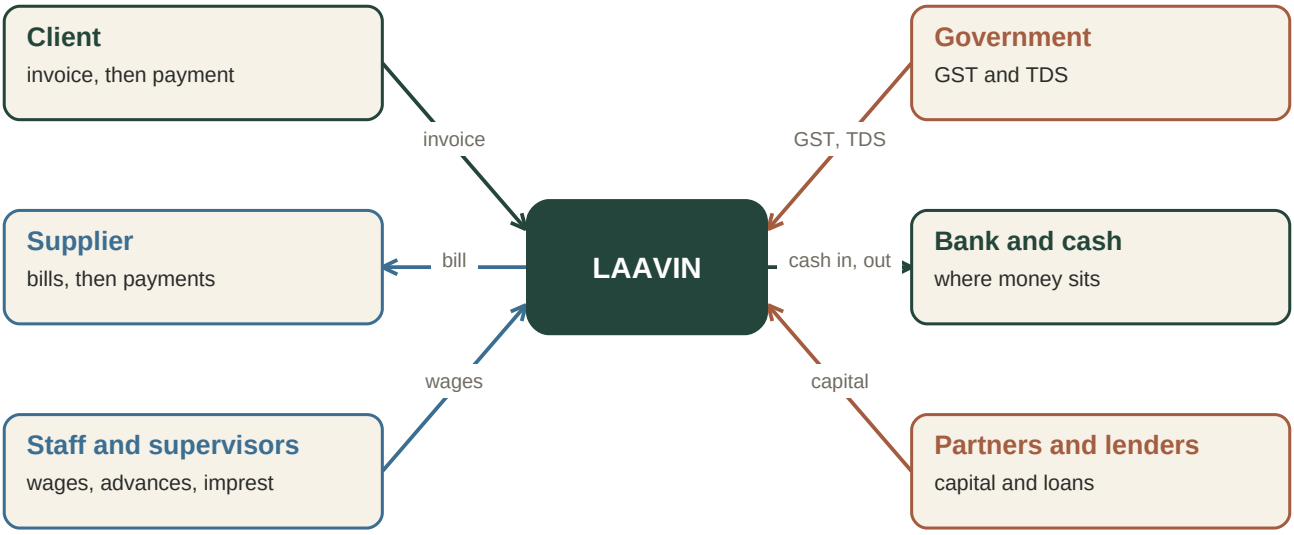
Closing locks everything dated up to a chosen date (normally 31 March). After that, no entry can be added, changed or removed, in any screen. This protects the finished accounts. Do it only after the Balance Sheet balances and the Books health check is clean.

# 13. A worked example, with numbers

Follow one small business through five entries and watch the reports move.

Laavin has put in no capital yet, and the bank is empty. All rates below are examples.

## Who money moves between




## The five entries

1. Send an invoice of Rs. 1,00,000 before GST, with 18 percent GST, 2 percent TDS and 10 percent retention.
2. The client pays what is due: Rs. 1,04,400 into the bank.
3. Record a supplier bill for materials: Rs. 20,000 plus 18 percent GST (Rs. 3,600). Total Rs. 23,600.
4. Pay that bill in full from the bank.
5. Record an approved office expense of Rs. 5,000, paid from the bank, with no GST.

## The numbers the app works out for entry 1

| Item | Amount |
|---|---|
| GST (18 percent of 1,00,000) | Rs. 18,000 |
| TDS (2 percent of 1,00,000) | Rs. 2,000 |
| Total payable (1,00,000 + 18,000 - 2,000) | Rs. 1,16,000 |
| Retention (10 percent of 1,16,000) | Rs. 11,600 |
| Due from the client now (1,16,000 - 11,600) | Rs. 1,04,400 |

## After each entry

| Entry | What moved |
|---|---|
| **1. Invoice sent** | Income +1,00,000. Client owes 1,04,400. Retention held 11,600. TDS credit 2,000. GST payable 18,000. |
| **2. Client pays** | Bank +1,04,400. Client owes 0. Income unchanged. |
| **3. Supplier bill** | Cost +20,000. Input GST +3,600. You owe the supplier 23,600. |
| **4. Pay the bill** | Bank -23,600. You owe the supplier 0. Cost unchanged. |
| **5. Office expense** | Cost +5,000. Bank -5,000. |

## What the reports now say

| Report | Shows |
|---|---|
| **Profit and Loss: income** | Rs. 1,00,000 (the GST and the TDS are not income) |
| **Profit and Loss: costs** | Rs. 25,000 (20,000 materials + 5,000 office) |
| **Profit and Loss: profit** | Rs. 75,000 |
| **Cash and bank** | Rs. 75,800 (1,04,400 - 23,600 - 5,000) |
| **Client due** | Rs. 0, with Rs. 11,600 retention still held |
| **GST to pay the government** | Rs. 14,400 (18,000 collected - 3,600 paid on the purchase) |
| **Tax credit with TDS** | Rs. 2,000 to claim back |

## And the Balance Sheet agrees

| What the firm has | | What it owes, and the partners' share | |
|---|---|---|---|
| Bank | Rs. 75,800 | GST payable | Rs. 18,000 |
| Retention held | Rs. 11,600 | Profit for the year | Rs. 75,000 |
| TDS credit | Rs. 2,000 | | |
| Input GST | Rs. 3,600 | | |
| **Total owned** | **Rs. 93,000** | **Total owed and partners' share** | **Rs. 93,000** |

**BOTH SIDES ARE EQUAL: 93,000 AND 93,000**

This is not luck. Every entry is written with two equal sides, so the Balance Sheet always balances. If it ever does not, the Books health check will say where.

# 14. Which report reads what

Use this chapter to find out why a report shows what it shows.

## One entry, many reports

Read across a row to see every report that one kind of entry changes.

| | Profit and Loss | Balance Sheet | Client ledger | Vendor ledger | Cash and bank | GST workings | Project profit | Dashboard |
|---|---|---|---|---|---|---|---|---|
| **Invoice (Sent)** | ● | ● | ● | | | ● | ● | ● |
| **Client payment** | | ● | ● | | ● | ○ | | ● |
| **Credit or debit note** | ● | ● | ● | | | ● | ● | ● |
| **Supplier bill** | ● | ● | | ● | | ● | ● | ● |
| **Supplier payment** | | ● | | ● | ● | | | ● |
| **Expense (approved)** | ● | ● | | | ● | ○ | ● | ● |
| **Salary and advances** | ● | ● | | | ● | | | ○ |
| **Loan** | ○ | ● | | | ● | | | ○ |
| **Capital** | | ● | | | ● | | | ○ |
| **Transfer** | | | | | ● | | | ○ |
| **Journal voucher** | ○ | ● | ○ | ○ | ○ | ○ | | ○ |

● changes the report directly ○ changes it in a smaller way (detail, a ledger line, or a warning)

## Where each report gets its numbers

| Report | Where its numbers come from |
|---|---|
| **Profit and Loss** | The books. Income on the invoice date, costs on the date of the bill or approved expense. Only Sent invoices and approved, categorised costs. |
| **Balance Sheet** | The books, as at one date. It also shows the year before. |
| **Trial balance** | The books. Every account's total, as of now. |
| **Client ledger and client report** | The books and the invoice list. What each client was billed, paid and still owes, with retention shown apart. |
| **Vendor ledger and vendor report** | The books and the bill list. Bills, payments and what is still owed. |
| **Cash and bank** | The books. Every move through cash and each bank account. |

| | |
|---|---|
| **Project profitability** | The invoice list against the expense and bill lists, by project. Needs a project on every entry. |
| **Expense breakdown** | The expense list, grouped by cost centre. |
| **GST and TDS register, GST return workings, GST release statement** | The Sent invoices and notes, and the purchase bills, split by state. |
| **Financial summary and GST summary** | The lists of Sent invoices, bills and payments for the period, and approved expenses. Drafts and pending claims are left out. |
| **Imprest, salary advance, loan and partner ledgers** | The books, filtered to one person or loan. |
| **Dashboard** | Mostly the books and lists as they stand today. Cards open the page behind them. |
| **Books health check** | Checks that the books and the records agree, and lists anything incomplete. |
| **Audit log** | A record of every edit and delete. |
| **Activity by user** | Everything one person recorded, in one list. |

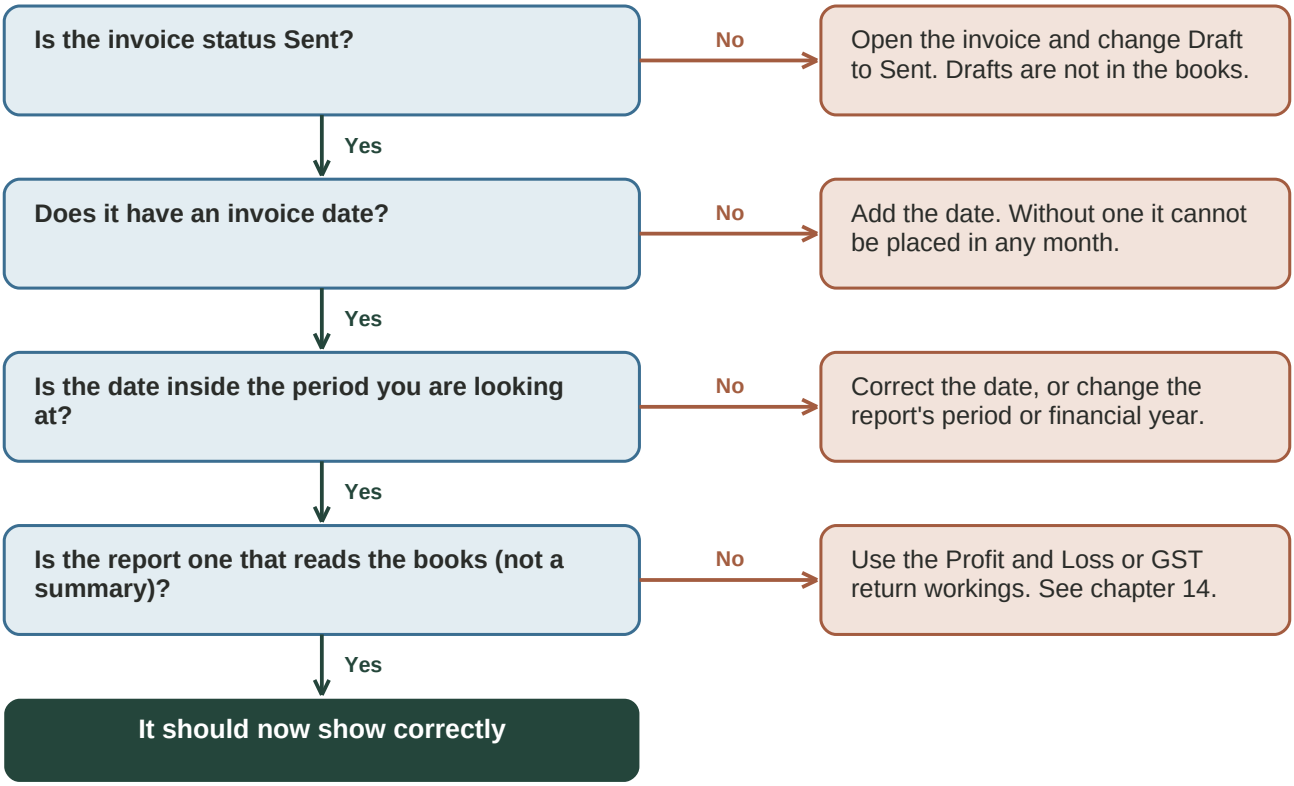
## Reading the Books health check

Open it after any big entry session. It tells you in plain lines: an entry that does not balance, a Sent invoice missing from the books, a bill with no sub-head, cash below zero, an invoice number used twice, missing GST or PAN numbers, TDS not yet deposited. Fix the red ones first. The amber ones are things to do. The blue ones are for your information.

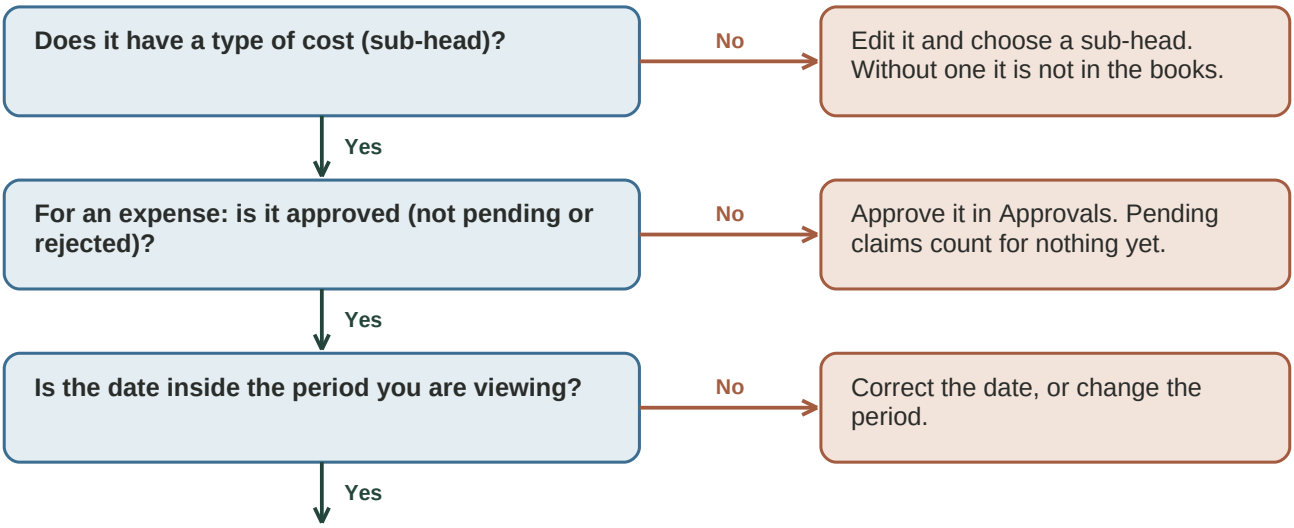
# 15. Why two numbers may not match

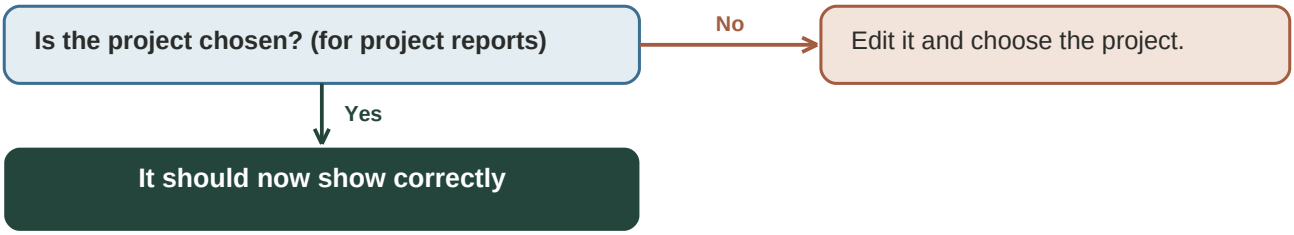
Most differences have a simple reason. Follow the flowcharts first, then use the table.

## "My invoice is missing from income or the GST return"




## "My bill or expense is missing from the Profit and Loss"






## Quick table

| You see | The usual reason |
|---|---|
| **An invoice is missing from income and the GST return** | It is still Draft, or has no date. Mark it Sent. |
| **A bill or an expense is missing from the Profit and Loss** | It has no sub-head, or (for an expense) it is still pending or was rejected. |
| **A figure is in the wrong month** | The date on the record is wrong. Open the record and correct it, if the year is not closed. |
| **Financial summary or GST summary differs from the GST workings** | Both count only Sent invoices and their credit and debit notes. If they still differ, the period or the invoice dates are different. Check the dates. |
| **Client "outstanding" lower than invoiced less paid** | Retention is held apart and not counted as due. For GST-on-proof clients, held GST is also kept out of due. |
| **Bank balance differs from the statement** | Run the Bank reconciliation. Usually a cheque or deposit that has not cleared, or a missed entry. |
| **GST shows as "not split"** | Your own GST number, or the client's or supplier's, is missing in Settings. |
| **Cash in hand looks odd** | Entries with no bank account chosen go to cash in hand. Choose the real account. |
| **Cannot change an entry** | The year is closed up to a date after it. Ask the Admin. |
| **A supervisor's claim is not in the reports** | It is still pending in Approvals. |

# 16. Reading the reports, line by line

Here are the main reports, filled in with the numbers from the worked example in chapter 13, with a note on every line.

## Profit and Loss

| Line | Amount (Rs.) | Where it comes from |
|---|---|---|
| Revenue from operations | 1,00,000 | The invoice amount before GST. GST is not income. |
| Total income | 1,00,000 | |
| Materials and Consumables | 20,000 | The supplier bill, before the GST on it. |
| Office and Administration | 5,000 | The approved office expense. |
| Total expenses | 25,000 | Both costs added. |
| **Net profit for the year** | **75,000** | **Income minus costs. TDS and GST are not here.** |

A second column on the real report shows the year before, so you can see if you are doing better or worse.

## Balance Sheet

| Line | Amount (Rs.) | What it is |
|---|---|---|
| Partners share: profit for the year | 75,000 | The profit above. Capital shows here too once entered. |
| GST payable | 18,000 | GST collected on the invoice. Owed to the government. |
| Total: what we owe and the partners share | 93,000 | |
| Balances with banks | 75,800 | Receipts less payments (1,04,400 - 23,600 - 5,000). |
| Retention money receivable | 11,600 | Held back by the client. |
| Tax deducted at source (receivable) | 2,000 | The TDS credit. |
| GST input credit | 3,600 | GST paid on the supplier bill. |
| Total: what we own | 93,000 | Equals the other side. |

The sheet ends with a green message saying it balances. If it is red, it says by how much it is out.

## Client ledger for invoice RA/MKC/12 (from chapter 4 and 5)

| Date | Particulars | Invoiced (due) | Received | Balance |
|---|---|---|---|---|
| 05 Oct | Invoice RA/MKC/12 | 5,51,000 | | 5,51,000 |
| 20 Oct | Payment received | | 3,00,000 | 2,51,000 |
| 12 Nov | Payment received | | 2,51,000 | 0 |

The Rs. 29,000 retention is shown on its own line in blue, with its release date, so it is never mistaken for an overdue amount. After the client releases it on 15 Jan, it drops to zero.

## Trial balance

Every account, with the total that went up and the total that went down. The two totals must match.

| Account | Debit | Credit |
|---|---|---|
| Bank | 1,04,400 | 28,600 |
| Money clients owe | 1,04,400 | 1,04,400 |
| Retention held | 11,600 | |
| TDS credit | 2,000 | |
| Input GST | 3,600 | |
| Owed to suppliers | 23,600 | 23,600 |
| GST payable | | 18,000 |
| Revenue | | 1,00,000 |
| Materials and Consumables | 20,000 | |
| Office and Administration | 5,000 | |
| **Total** | **2,74,600** | **2,74,600** |

Both columns come to Rs. 2,74,600. That equality is the proof that every entry was written with two equal sides.

## Cash and bank

| Entry | Money in | Money out | Running balance |
|---|---|---|---|
| Client payment | 1,04,400 | | 1,04,400 |
| Supplier payment | | 23,600 | 80,800 |
| Office expense | | 5,000 | 75,800 |

## GST return workings (GSTR-3B box)

| | CGST | SGST | Note |
|---|---|---|---|
| Tax on your sales | 9,000 | 9,000 | CGST and SGST, same state |
| Input credit from purchases | 1,800 | 1,800 | Half and half |
| Tax to pay | 7,200 | 7,200 | Total Rs. 14,400 |

## Dashboard cards

| Card | What it tells you |
|---|---|
| **Outstanding from clients** | What clients owe you now, after retention and any GST held back. In the example: 0. |
| **Retention held** | Shown next to it, so you can see the money you are waiting for. |
| **Expenses this month** | Approved expenses dated in this month. |
| **Cash and bank** | The total across cash and every bank account. |
| **Needs attention** | Overdue invoices, claims waiting for approval, advances outstanding. Each opens the page behind it. |

# 17. Questions beginners ask

| Question | Answer |
|---|---|
| **Why is my profit not equal to my bank balance?** | Profit counts work done and bills received. The bank counts only money that moved. Unpaid invoices raise profit but not cash. Unpaid bills lower profit but not cash. Capital and loans raise cash but not profit. |
| **Why does an unpaid invoice already count as income?** | Because the work is done and the client owes you. The standard rule is to count income when it is earned, not when it is paid. |
| **Why is GST not my income?** | You hold it for the government. If it were income, your profit would look 18 percent too high. |
| **Why is the TDS not a cost?** | It is tax already paid for you. You get it back as a credit, so nothing is lost. |
| **Why is retention shown separately?** | It is not overdue and not yours to collect yet. Mixing it into the due amount would make clients look late when they are not. |
| **What if I enter the same invoice twice?** | The app refuses the same invoice number. For other entries, check the list first. If it happened, delete one and the books will correct themselves. |
| **Can I undo a mistake?** | Edit the record, or delete it. The books follow at once. A deleted expense, capital entry, transfer, loan and similar records can be restored from the Trash, and a toast with Undo appears right after you delete or save. Every change is logged in the Audit log. Entries in a closed year, or in a locked bank period, cannot be changed. |
| **I marked an invoice Sent by mistake. What now?** | Change it back to Draft, if it has no payments recorded. The income, GST and client balance disappear from the reports. |
| **What is the "Books health check"?** | A checklist the app runs on itself. It lists anything that looks wrong or incomplete: missing GST numbers, bills with no cost type, cash below zero, TDS not yet deposited. |
| **Do I need to know debit and credit?** | No. You fill in screens in plain words, and the app writes the entries. The words appear only in the Trial balance. |
| **Why can I not see a page my colleague can?** | Each role sees only the pages it needs. Supervisors see their own work. The office sees everything. Ask the Admin if you think you need more. |

# 18. Test yourself

Try these before turning the page. The answers are at the end of this chapter.

1. You send an invoice of Rs. 2,00,000 plus 18 percent GST, with no TDS and no retention. How much is the income? How much does the client owe?
2. The client pays the whole amount. What happens to the income?
3. You record a supplier bill of Rs. 50,000 plus 18 percent GST. By how much does your profit fall?
4. You pay that bill. By how much does your profit fall now?
5. A supervisor sends a claim for Rs. 4,000 and it is still pending. What does the Profit and Loss show for it?
6. You give a supervisor Rs. 10,000 as an advance. How much is the cost?
7. A client holds back 5 percent retention on an invoice of Rs. 1,00,000 (no GST, no TDS). How much is due now?
8. Your Balance Sheet shows a red message "out by Rs. 500". Where do you look first?

## Answers

| Q | Answer |
|---|---|
| 1 | Income Rs. 2,00,000. The client owes Rs. 2,36,000 (2,00,000 + 36,000 GST). |
| 2 | Nothing. The income was counted when you sent the invoice. Only the bank goes up and the client owes zero. |
| 3 | Rs. 50,000. The GST of Rs. 9,000 is input GST, not a cost. |
| 4 | Nothing more. The cost was counted when the bill was recorded. |
| 5 | Nothing. A pending claim is not in the books until approved. |
| 6 | Rs. 0. An advance is a wallet, not a cost. Cost appears when the supervisor spends it. |
| 7 | Rs. 95,000. The Rs. 5,000 retention is held and not counted as due. |
| 8 | The Books health check. It names the entry that does not balance or the record that is missing. |

# 19. Ten golden rules

1. Record each thing once, in the screen made for it.
2. Check the date before you save.
3. Choose the project and, for bills and expenses, the sub-head. They decide where the cost shows.
4. Choose the bank account. An empty account means cash in hand.
5. Mark invoices Sent only when they really go to the client. A Draft counts for nothing.
6. Record the promise (invoice, bill) and the payment (receipt, payment) as separate entries.
7. Never record GST, TDS or retention as income, or a loan as income.
8. Fix mistakes by editing the record, not by adding a second entry on top.
9. Fill in GST and PAN numbers for clients and suppliers once, in Settings.
10. Open the Books health check regularly, and always before closing a month or year.

## Words used in this guide

| Word | Meaning |
|---|---|
| **The books** | The company's accounts, which the app writes for you from every record. |
| **Entry** | One line written in the books, always with two equal sides. |
| **Sub-head** | The type of cost, such as cement, fuel or stationery. It decides which group of costs it joins. |
| **Input GST** | GST you paid on purchases, which you can set against the GST you collected. |
| **GST payable** | GST you collected on invoices and owe to the government. |
| **TDS receivable** | Tax a client kept back for you. You claim it as credit. |
| **TDS payable** | Tax you kept back from a supplier, which you owe to the government. |
| **Retention** | A share of an invoice the client holds until the work is complete. |
| **Imprest** | Money handed to a supervisor to spend on site. |
| **Accrue** | To count a cost or income on its own date, before the money moves. |
| **Closing the year** | Locking all entries up to a date so they cannot be changed. |

## More words you may meet

| Word | Meaning |
|---|---|
| **Accounts Receivable** | Money clients owe you. |
| **Accounts Payable** | Money you owe suppliers. |

| | |
|---|---|
| **Ledger** | The list of all entries for one person, project or account, with a running balance. |
| **Journal** | The list of entries, in the order they were made. |
| **Trial balance** | A list of every account with its debit and credit totals. The two totals must match. |
| **Balance Sheet** | A photograph of the business on one day: what it owns, owes, and the partners share. |
| **Profit and Loss** | A film of a period: income, costs and the profit left. |
| **Reconciliation** | Checking two records agree, usually your books and the bank statement. |
| **Accrual** | Counting income or a cost on the day it belongs to, not the day money moves. |
| **Draft** | A rough copy that does not touch the books. |
| **Sub-head** | The type of cost, such as cement or fuel. |
| **Cost centre** | A broad group of spending: Admin, Trips or Project. |
| **GSTR-1, GSTR-3B, GSTR-2B** | GST forms: the list of your sales, the monthly summary and payment, and the list of your purchases reported by suppliers. |
| **Form 26AS** | A statement on the income tax website showing all tax deposited in your name, including TDS from clients. |
| **Audit log** | A record of every edit and delete: who, when and what it was before. |
| **Trash** | Where deleted records wait. An Admin can restore them. Nothing in it is removed for good. |